

Employing in Romania

What You Need to Know · Employment Hero HeroForce EOR · July 2026

What does the EOR handle for you?

- **Employment contracts** — compliant contracts under the Romanian Labour Code
- **Monthly payroll** — salary payments in RON, itemised payslips
- **Tax withholding** — flat 10% income tax withheld and remitted monthly
- **CAS, CASS & CAM** — the pension, health and work insurance contribution stack
- **Leave and termination management** — notice periods, entitlements and severance guidance

Employment Conditions

Contracts & Probation

Item	Detail	Legal Basis
Probation period	Maximum 90 days (120 for management roles)	Labour Code
Standard hours	8 hrs/day, 40 hrs/week	Labour Code
Part-time salaries	Must be calculated on at least the minimum wage regardless of actual hours, to prevent under-declaration	Labour Code reform

Minimum Wage & Statutory On-Costs (2026)

Romania's payroll structure is unusual for the EU — the overwhelming majority of the social contribution burden sits on the employee side, while the employer pays only a small work insurance contribution.

Measure	Rate	Notes
Minimum wage	RON 4,325/month (from 1 July 2026)	RON 4,050/month in H1 2026; construction sector minimum is RON 4,582/month
Employee CAS (pension)	25% of gross salary	Capped at 24× the national minimum wage/month
Employee CASS (health)	10% of gross salary	No cap
Employer CAM (work insurance)	2.25% of gross salary	The lowest statutory employer burden in the EU — no separate employer pension/health/unemployment contribution

Leave Entitlements

Leave Type	Entitlement	Who Pays	Key Condition
Annual Leave	Minimum 20 working days/year	Employer	Labour Code minimum; many employers offer more
Sick Leave	Employer pays first 5 days, health insurance thereafter	Employer (5 days) + CASS	Requires a medical certificate
Maternity Leave	126 days (63 before + 63 after birth)	Health insurance (85% of average income)	Requires 6+ months' contribution in the prior 12 months

★ HERO TIP

Romania's 2.25% employer CAM rate is the lowest statutory employer burden anywhere in the EU — a RON 10,000 gross salary costs the employer only RON 10,225 per month before the EOR fee. The tradeoff sits entirely on the employee side, where CAS + CASS deductions of 35% (before the flat 10% income tax) produce one of Europe's highest effective employee tax wedges despite the low headline income tax rate.

Payroll, Tax & Contributions

Total Cost Example — USD \$3,000 Gross Monthly Salary

Cost Item	Amount (USD)	% of Gross
Gross salary	\$3,000.00	100%
Employer CAM (2.25%)	\$67.50	2.25%
EOR service fee (HeroForce, Tier 2)	\$600.00	20.00%
Estimated total monthly cost	~\$3,667.50	~122.3%

HeroForce EOR service fee shown at USD \$600 per employee per month (Tier 2 pricing), no setup fee. Romania's minimal employer on-cost (2.25%) makes it one of the cheapest EU markets to hire in from an employer-contribution perspective. Employee deductions (withheld separately) include CAS (25%), CASS (10%) and the flat 10% income tax on the remainder — a combined employee wedge of roughly 41.5% for salaries above the personal-deduction threshold.

Income Tax

Romania applies a flat 10% personal income tax rate, calculated on gross salary after deducting CAS and CASS. A personal deduction (~RON 510/month, phasing out above ~RON 4,000/month) applies for lower earners.

Termination & Separation

Statutory notice is a minimum of 20 working days for both employer and employee. Severance is not universally mandated by the Labour Code but is common practice and required under many collective agreements or individual contracts for redundancy-based dismissals.

Public Holidays 2026

Date	Holiday	Type
1-2 January	New Year	National
24 January	Unification Day	National
~April	Orthodox Easter (Friday-Monday)	National (Orthodox calendar — differs from Western Easter)
1 May	Labour Day	National
1 June	Children's Day	National
~June	Orthodox Whit Monday	National (Orthodox calendar)
15 August	Assumption Day	National
30 November	St. Andrew's Day	National
1 December	Great Union Day (National Day)	National
25-26 December	Christmas Day and 2nd Day of Christmas	National

Romania follows the Orthodox Easter calendar, which frequently differs from the Western (Catholic/Protestant) date used elsewhere in Europe.

Ready to hire in Romania?

HeroForce by Employment Hero is an Employer of Record solution that handles hiring, contracts, compliance and payroll across 180+ countries.

Onboard your first Romania employee in as little as one to two weeks — HeroForce EOR service fee: **USD \$600** per employee per month, no setup fee (Tier 2).